

add that stuff. It was just so cobbled together.

It was enough to prove the concept and show that it was something that people really liked. The actual coupon generation that we were doing was all FileMaker. We would run a script that would e-mail the coupon PDF to people. It got to the point where we'd sell 500 sushi coupons in a day, and we'd send 500 PDFs to people with Apple Mail at the same time. Really until July of the first year it was just a scrambling to grab the tiger by the tail. It was trying to catch up and reasonably piece together a product.¹

Handmade PDFs, a pizza coupon, and a simple blog were enough to launch Groupon into record-breaking success; it is on pace to become the fastest company in history to achieve \$1 billion in sales. It is revolutionizing the way local businesses find new customers, offering special deals to consumers in more than 375 cities worldwide.²



A minimum viable product (MVP) helps entrepreneurs start the process of learning as quickly as possible.³ It is not necessarily the smallest product imaginable, though; it is simply the fastest way to get through the Build-Measure-Learn feedback loop with the minimum amount of effort.

Contrary to traditional product development, which usually involves a long, thoughtful incubation period and strives for product perfection, the goal of the MVP is to begin the process of learning, not end it. Unlike a prototype or concept test, an MVP is designed not just to answer product design or technical questions. Its goal is to test fundamental business hypotheses.

WHY FIRST PRODUCTS AREN'T MEANT TO BE PERFECT

At IMVU, when we were raising money from venture investors, we